

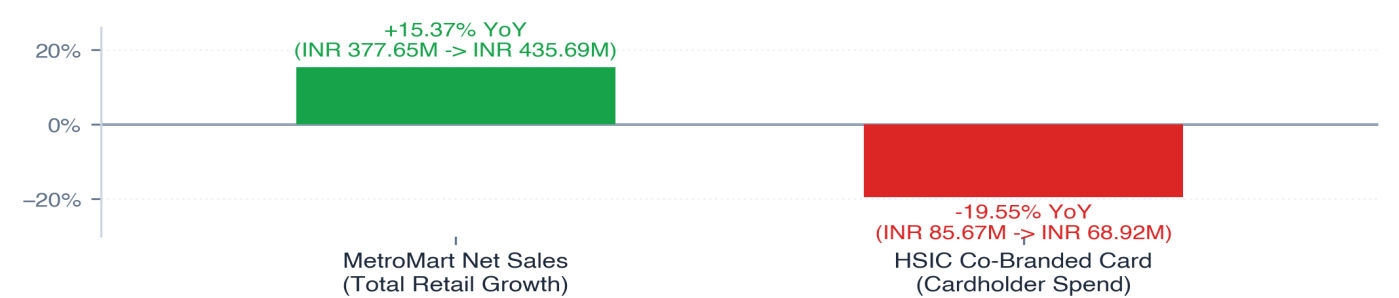
HSIC SOLUTION: Silent Attrition & Share-of-Wallet Recovery

Turning payment migration into targeted customer action

The retailer is growing. HSIC's share of that growth is shrinking.

MetroMart continues to grow, but HSIC is capturing a smaller share of that spending. The data points to a payment-behaviour problem rather than a simple loss of customers.

FY26 METROMART SALES	METROMART YOY GROWTH	FY26 HSIC SHARE OF WALLET	HSIC SOW CHANGE	SILENT ATTRITION
INR 435.69M	+15.37%	15.82%	-6.87 pp	3,784
+15.37% Retail Net Sales	from INR 377.65M in FY25	Co-Brand Spend: INR 68.92M	from 22.69% in FY25	8.41% Active Accounts



Takeaway: MetroMart retail sales expanded by +15.37% YoY, while co-branded card spending contracted by -19.55% YoY.

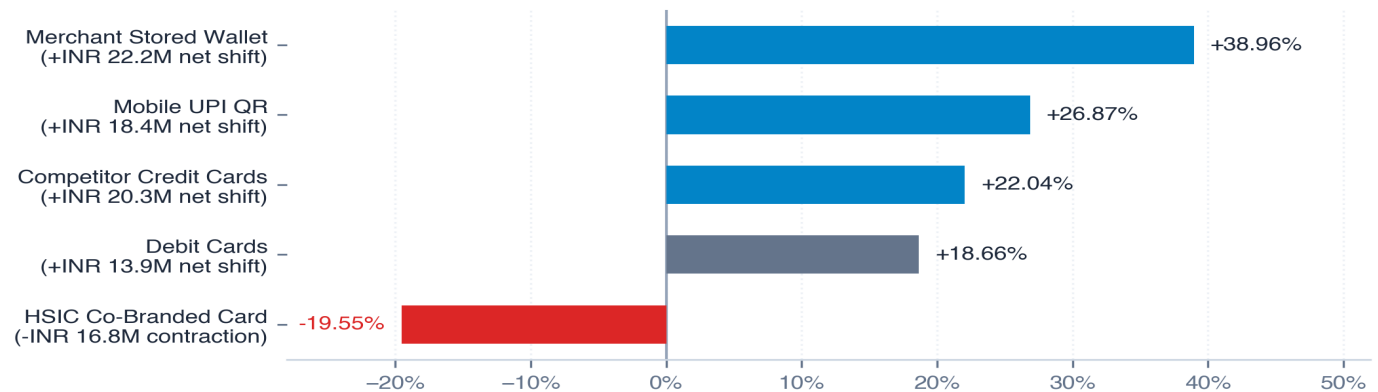
Key Strategic Insight: Customers are still shopping at MetroMart. The problem is that an increasing portion of their checkout spend is moving away from HSIC.

1. DETECT Flag Silent Attrition & SoW Drop	2. DIAGNOSE Identify Diverted Channel & Category	3. SEGMENT Cluster by Tender & Basket Behaviour	4. RECOMMEND Trigger Automated Next Best Offer	5. RECOVER Measure Share & ROI Recapture
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How the System Works: Our solution identifies customers whose HSIC Share of Wallet is deteriorating, explains where that spend is moving, groups customers by behaviour, and converts those signals into targeted Next Best Offers.

Where did the lost HSIC spend go?

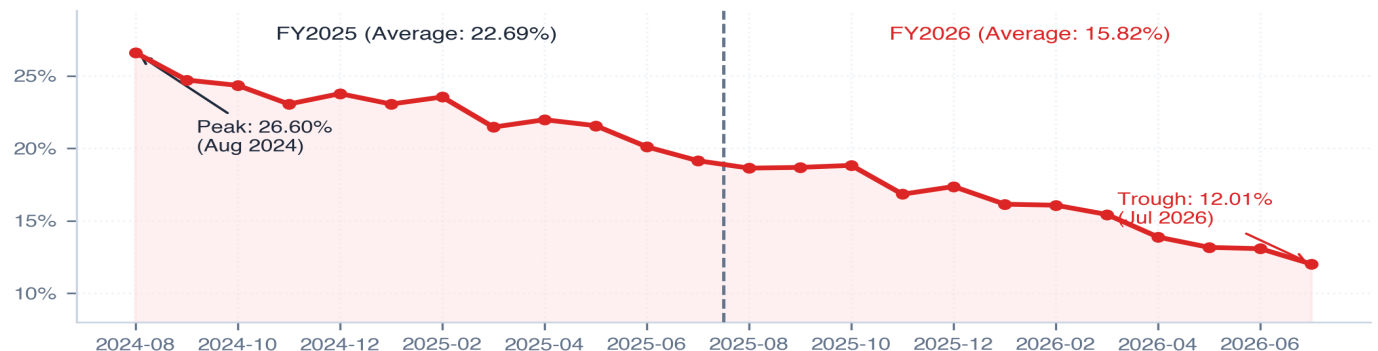
The decline is not happening in isolation. Other payment methods are gaining share while HSIC declines.



Takeaway: Digital stored wallets (+38.96%) and mobile UPI QR (+26.87%) captured everyday transactions, while competitor credit cards (+22.04%) captured high-ticket purchases.

Three observed patterns explain the tender substitution:

- 1. Convenience pull toward in-app stored wallets & UPI:** Merchant Stored Wallet spend jumped **+38.96% (+INR 22.2M)** and Mobile UPI QR expanded **+26.87% (+INR 18.4M)**, driven by 1-tap checkout discounts and mobile contactless POS scanning.
- 2. Competitor credit cards dominating high-ticket purchases:** High-ticket merchandise (Electronics and Appliances) shifted away to competitor cards (**+22.04%, +INR 20.3M**), indicating promotional competitor bank zero-cost EMI financing at POS counters.
- 3. Fundamental payment tender substitution:** HSIC card spend declined **-19.55% (-INR 16.75M)**. Cardholders did not stop shopping at MetroMart; they silently diverted payment at the register into alternative instruments.



Takeaway: HSIC Share of Wallet experienced an unbroken 24-month structural slide from a peak of 26.60% (Aug 2024) to a trough of 12.01% (Jul 2026).

Structural Risk Assessment: The key risk is structural: if customers continue shopping but increasingly pay through other tenders, HSIC can lose transaction share without traditional churn being visible.

The opportunity is concentrated in identifiable customer behaviours.

Early detection requires grouping customers by risk severity and behavioral spending patterns.

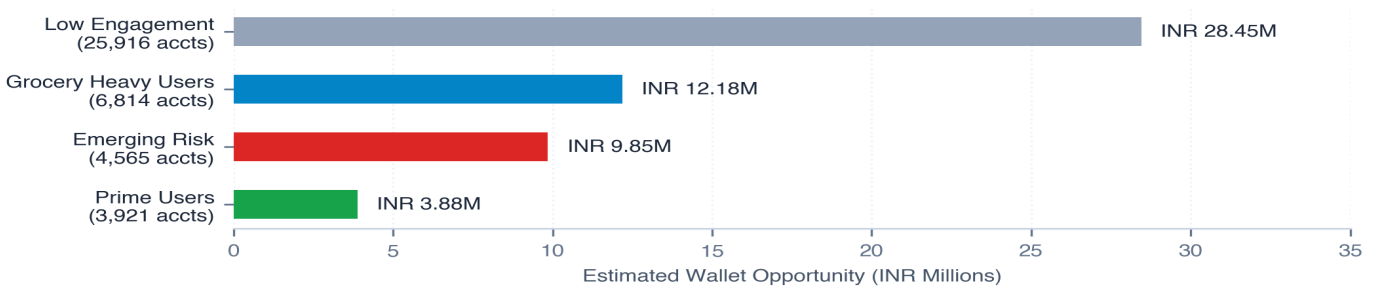
● HIGH RISK	● WATCHLIST	● HEALTHY
1,245 Customers	3,210 Customers	40,000 Customers
Severe Silent Attrition SoW drop > 40.0 percentage points	Emerging tender migration SoW drop 10.0 to 40.0 pp	Stable & loyal cardholders Protected top-of-wallet habits

Crucial Business Distinction: Silent Attrition does not mean the customer has stopped shopping. It means the customer is still valuable to the retailer, but HSIC is losing the payment share.

Customer Segment Recovery Playbook:

CUSTOMER SEGMENT	CUSTOMERS	CURRENT SOW	RECOMMENDED CAMPAIGN	EXPECTED RECOVERY*
Emerging Risk	4,565	9.47%	10% Electronics Cashback (+ 0% POS EMI)	+3.2% SoW
Grocery Heavy Users	6,814	12.40%	Segment-level campaign: Extra 5% Grocery Cashback	+4.8% SoW
Prime Users	3,921	48.89%	Double Reward Week (2X points + Free Delivery)	+5.5% SoW
Low Engagement	25,916	11.99%	INR 500 Welcome Back Bonus Voucher	+2.1% SoW

* Expected Recovery numbers represent analytical modeled segment expectations calibrated against customer transaction history, not guaranteed revenue.



Takeaway: While Low Engagement accounts hold high gross gap (INR 28.5M), Emerging Risk and Grocery Users offer higher responsiveness to targeted intervention.

Strategic Personalization: Segmentation prevents an expensive, one-size-fits-all campaign. A customer losing electronics spend to a competitor credit card requires zero-cost EMI financing, whereas a grocery-heavy shopper migrating to UPI requires contactless everyday card rewards.

* K-Means behavioural segmentation | Features: SoW Delta, Basket Size, Category Concentration, Tender Ratio | K=5 | Silhouette ≈ 0.393

From "Who is at risk?" to "What should we do?"

Next Best Offer (NBO) converts diagnosed customer behavior directly into deterministic commercial actions.

Deterministic Next Best Offer (NBO) Decision Engine:

OBSERVED CUSTOMER SIGNAL	ROOT CAUSE DIAGNOSIS	RECOMMENDED ACTION (NBO RULE)
Electronics purchases shifted away to rival credit card	Competitor-card migration in high-ticket electronics (EMI deals)	10% Electronics Cashback for 30 days + 0% Instant POS EMI
Frequent grocery shopper (>= 2 visits) AND HSIC SoW < 40%	Everyday supermarket basket spend moving to UPI / debit	Customer-level NBO: Extra 3% Grocery Cashback for 60 days
MetroMart Stored Wallet is dominant payment tender	Checkout convenience discounts replacing card swipes in-app	2.5% Instant Auto-Reload Bonus on wallet when funded via HSIC Card
Displaced by QR phone scanning at physical POS registers	Plastic card friction at counter checkouts	Virtual RuPay Card on UPI with 1.5% scan-and-pay cashback
100% HSIC card loyalty AND Non-Prime member	Exemplary top-of-wallet cardholder retention opportunity	Complimentary 1-Year Prime Upgrade as VIP Loyalty Reward

Two-Tier Offer Architecture: Customer-level NBO rules (e.g. 3% grocery cashback) trigger automated micro-incentives for targeted accounts to protect program margin. Segment-level campaigns (e.g. 5% grocery cashback) represent promotional, portfolio-wide marketing pushes across the entire cohort (6,814 cardholders).

Representative Customer 360 Diagnostic Case Studies:

ACCOUNT	PROFILE & TREND	DIAGNOSED ROOT CAUSE	NEXT BEST OFFER TRIGGERED
#25790	Prime -100.0 pp SoW Spend grew INR 4.9k -> INR 52.3k	● Risk Radar: Shifted INR 36.9k checkouts to MetroMart Wallet	2.5% Auto-Reload Bonus on Card Top-Up (power the wallet)
#33822	Non-Prime -35.2 pp SoW Frequent supermarket visits	● Risk Radar: Food & grocery basket migration to UPI	Customer-level NBO: 3% Grocery Cashback for 60 Days
#24664	Prime High-Ticket Attrition Electronics purchases diverted	● Risk Radar: Shifted purchases to competitor credit card	10% Electronics Cashback + 0% Instant POS EMI
#58218	Non-Prime -42.1 pp SoW Counter register checkout	● Risk Radar: Point-of-sale plastic card friction	Virtual RuPay Card on UPI with 1.5% Scan & Pay
#25555	Non-Prime +84.4 pp SoW Lift 100% HSIC card loyalty	● Loyalty Radar: 100% Co-Brand Capture (Success Case)	Complimentary 1-Yr Prime Upgrade (Loyalty Retention)

Explainable Analytics: Account #25555 illustrates that our system evaluates all customer dimensions—celebrating loyal, expanding accounts rather than issuing false churn alerts. Every offer is directly auditable to the root-cause tender shift.

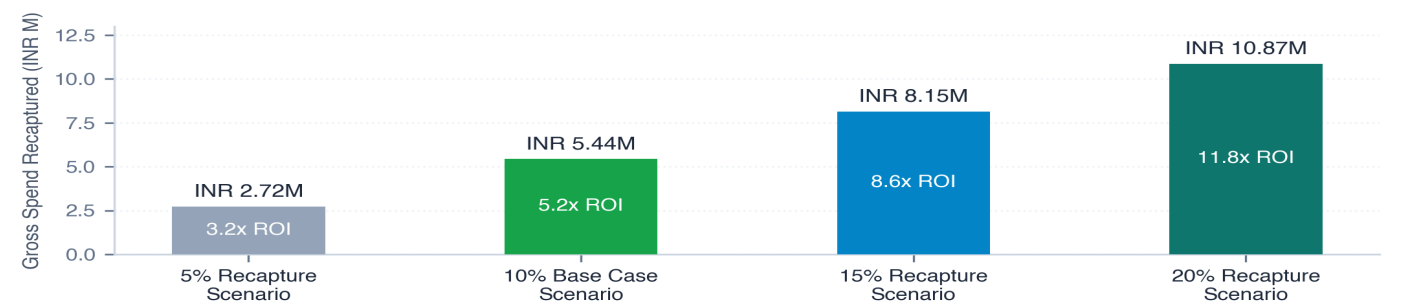
The goal is not to win back lost shoppers. It is to win back lost payment share.

Because customers are still shopping at MetroMart, the recovery opportunity is to redirect a portion of existing spend back to HSIC.

Estimated Wallet Opportunity: INR 54.36M (Historical Baseline Share Gap)

RECOVERY SCENARIO*	GROSS CARD SPEND RECAPTURED	ESTIMATED CAMPAIGN BUDGET	NET FINANCIAL LIFT	PROJECTED NET ROI
5% Recapture Scenario	INR 2.72M	INR 500,000	INR 2.22M	3.2x ROI
10% Recapture Scenario (Base Case)	INR 5.44M	INR 850,000	INR 4.59M	5.2x ROI
15% Recapture Scenario	INR 8.15M	INR 1,150,000	INR 7.00M	8.6x ROI
20% Recapture Scenario	INR 10.87M	INR 1,450,000	INR 9.42M	11.8x ROI

* Note: Modelled as conservative illustrative recovery scenarios across the 3,784 Silent Attrition cardholders, not speculative forecasts or guaranteed revenue.



Takeaway: Under the base case 10% recovery scenario, recapturing INR 5.44M in gross card spend yields an INR 4.59M net profit lift after promotional costs (5.2x Net ROI).

Five-Stage Operational Action Roadmap:

1. DETECT Monitor monthly Share of Wallet and active tender shifts weekly at checkout.	2. DIAGNOSE Pinpoint leakage by merchandise category (electronics, groceries) and competitor tender.	3. PRIORITIZE Rank cardholders by estimated wallet opportunity to optimize marketing efficiency.	4. PERSONALIZE Deploy automated rule-driven NBOs (EMI subsidies, wallet top-up bonus, UPI cards).	5. MEASURE Track incremental card spend, SoW recapture, offer redemption rate, and campaign ROI.
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How We Would Validate This in Production: Deploy controlled A/B test experiments comparing targeted NBO offers against a randomized holdout control group. Measure incremental HSIC card spend, Share of Wallet recovery trajectory, offer redemption rate, customer acquisition/retention cost, and net return on investment before enterprise roll-out.

Conclusion: Instead of waiting for visible account closure, Synchrony can intervene while the customer is still active at MetroMart—when there is still wallet share to recover.